



1. Definition of Internal Control

- 13 The purpose of this Internal Control—Integrated Framework (Framework) is to help management better control the organization and to provide a board of directors¹ with an added ability to oversee internal control. A system of internal control allows management to stay focused on the organization's pursuit of its operations and financial performance goals, while operating within the confines of relevant laws and minimizing surprises along the way. Internal control enables an organization to deal more effectively with changing economic and competitive environments, leadership, priorities, and evolving business models.

Understanding Internal Control

- 14 Internal control is defined as follows:

Internal control is a process, effected by an entity's board of directors, management, and other personnel, designed to provide reasonable assurance regarding the achievement of objectives relating to operations, reporting, and compliance.

- 15 This definition emphasizes that internal control is:

- *Geared to the achievement of objectives* in one or more separate but overlapping categories
- *A process* consisting of ongoing tasks and activities—it is a means to an end, not an end in itself
- *Effected by people*—it is not merely about policy and procedure manuals, systems, and forms, but about people and the actions they take at every level of an organization to effect internal control
- *Able to provide reasonable assurance*, not absolute assurance, to an entity's senior management and board of directors
- *Adaptable to the entity structure*—flexible in application for the entire entity or for a particular subsidiary, division, operating unit, or business process

- 16 This definition of internal control is intentionally broad for two reasons. First, it captures important concepts that are fundamental to how organizations design, implement, and conduct internal control and assess effectiveness of their system of internal control, providing a basis for application across various types of organizations, industries, and geographic regions. Second, the definition accommodates subsets of internal control.

- 17 Those who want to may focus separately, for example, on internal control over reporting or controls relating to complying with laws and regulations. Similarly, a directed focus on controls in particular units or activities of an entity can be accommodated.

¹ The Framework uses the term "board of directors," which encompasses the governing body, including board, board of trustees, general partners, owner, or supervisory board.



- 18 It also provides flexibility in application, allowing an organization to sustain internal control across the entire entity; at a subsidiary, division, or operating unit level; or within a function relevant to the entity's operations, reporting, or compliance objectives, based on the entity's specific needs or circumstances.

Geared to the Achievement of Objectives

- 19 The Framework sets forth three categories of objectives, which allow organizations to focus on separate aspects of internal control:
- *Operations Objectives*—These pertain to effectiveness and efficiency of the entity's operations, including operational and financial performance goals, and safeguarding assets against loss.
 - *Reporting Objectives*—These pertain to internal and external financial and non-financial reporting and may encompass reliability, timeliness, transparency, or other terms as set forth by regulators, standard setters, or the entity's policies.
 - *Compliance Objectives*—These pertain to adherence to laws and regulations to which the entity is subject.
- 20 These distinct but overlapping categories—a particular objective can fall under more than one category—address different needs and may be the direct responsibility of different individuals. The three categories also indicate what can be expected from internal control.
- 21 A system of internal control is expected to provide an organization with reasonable assurance that those objectives relating to external reporting and compliance with laws and regulations will be achieved. Achieving those objectives, which are based largely on laws, rules, regulations, or standards established by legislators, regulators, and standard setters, depends on how activities within the organization's control are performed. Generally, management and/or the board have greater discretion in setting internal reporting objectives that are not driven primarily by such external parties. However, the organization may choose to align its internal and external reporting objectives to allow internal reporting to better support the entity's external reporting.
- 22 In those instances where the organization operates in accordance with external standards—for instance in applying an external standard relating to quality or information processing—an organization is able to attain reasonable assurance that objectives relating to the efficiency and effectiveness of operations are achieved. However, achievement of operations objectives—such as a particular return on investment, market share, or entry into new product lines—is not always within the organization's control. Internal control cannot prevent bad judgments or decisions, or external events that can cause an organization to fail to achieve operational goals. For these objectives, systems of internal control can only provide reasonable assurance that management and the board are made aware, in a timely manner, of the extent to which the entity is moving toward those objectives.



A Process

- 23 Internal control is not one event or circumstance, but a dynamic and iterative process²—actions that permeate an entity's activities and that are inherent in the way management runs the entity. Embedded within this process are controls consisting of policies and procedures. These policies reflect management or board statements of what should be done to effect internal control. Such statements may be documented, explicitly stated in other management communications, or implied through management actions and decisions. Procedures consist of actions that implement a policy.
- 24 Business processes, which are conducted within or across operating units or functional areas, are managed through the fundamental management activities, such as planning, executing, and checking. Internal control is integrated with these processes. Internal control embedded within these processes and activities are likely more effective and efficient.

Effected by People

- 25 Internal control is effected by the board of directors, management, and other personnel. It is accomplished by the people of an organization, by what they do and say. People establish the entity's objectives and put actions in place to achieve specified objectives.
- 26 The board's oversight responsibilities include providing advice and direction to management, constructively challenging management, approving policies and transactions, and monitoring management's activities. Consequently, the board of directors is an important element of internal control. The board and senior management establish the tone for the organization concerning the importance of internal control and the expected standards of conduct across the entity.
- 27 Issues arise every day in managing an entity. People may not fully understand the nature of such issues or alternatives available to them, communicate effectively, or perform consistently. Each individual brings to the workplace a unique background and ability, and each has different needs and priorities. These individual differences can be inherently valuable and beneficial to innovation and productivity, but if not properly aligned with the entity's objectives they can be counterproductive. Yet, people must know their responsibilities and limits of authority. Accordingly, a clear and close linkage needs to exist between people's roles and responsibilities and the way in which these duties are carried out and aligned with the entity's objectives.

Provides Reasonable Assurance

- 28 An effective system of internal control provides management and the board of directors with reasonable assurance regarding achievement of an entity's objectives. The term "reasonable assurance" rather than "absolute assurance" acknowledges that limitations exist in all systems of internal control, and that uncertainties and risks may exist, which no one can confidently predict with precision. Absolute assurance is not possible.

² Although referred to as a process, internal control comprises many processes.



- 29 Reasonable assurance does not imply that an entity will always achieve its objectives. Effective internal control increases the likelihood of an entity achieving its objectives. However, the likelihood of achievement is affected by limitations inherent in all internal control systems, such as human error and the uncertainty inherent in judgment. Additionally, a system of internal control can be circumvented if people collude. Further, if management is able to override controls, the entire system may fail. In other words, even an effective system of internal control can experience a failure.

Adaptable to the Entity Structure

- 30 Entities may be structured along various dimensions. The management operating model may follow product or service lines; reporting may be done for a consolidated entity, division, or operating unit, with geographic markets providing for further subdivisions or aggregations of performance. The management operating model may utilize outsourced service providers to support the achievement of objectives.
- 31 The legal entity structure is typically designed to follow regulatory reporting requirements, limit risk, or provide tax benefits. Often the organization of legal entities is quite different from the management operating model used to manage operations, allocate resources, measure performance, and report results.
- 32 Internal control can be applied, based on management's decision and in the context of legal or regulatory requirements, to the management operating model, legal entity structure, or a combination of these.



2. Objectives, Components, and Principles

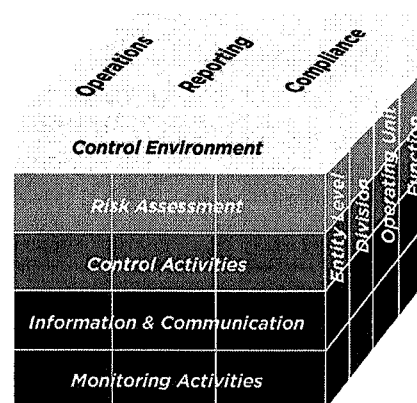
Introduction

- 33 An organization adopts a mission and vision, sets strategies, establishes objectives it wants to achieve, and formulates plans for achieving them. Objectives may be set for an entity as a whole, or be targeted to specific activities within the entity. Though many objectives are specific to a particular entity, some are widely shared. For example, objectives common to most entities are sustaining organizational success, reporting to stakeholders, recruiting and retaining motivated and competent employees, achieving and maintaining a positive reputation, and complying with laws and regulations.
- 34 Supporting the organization in its efforts to achieve objectives are five components of internal control:
- Control Environment
 - Risk Assessment
 - Control Activities
 - Information and Communication
 - Monitoring Activities
- 35 These components are relevant to an entire entity and to the entity level, its subsidiaries, division, or any of its individual operating units, functions, or other subsets of the entity.

Relationship of Objectives, Components, and the Entity

- 36 A direct relationship exists between objectives, which are what an entity strives to achieve, components, which represent what is required to achieve the objectives, and entity structure (the operating units, legal entities, and other structures). The relationship can be depicted in the form of a cube.

- The three categories of objectives are represented by the columns.
- The five components are represented by the rows.
- The entity structure, which represents the overall entity, divisions, subsidiaries, operating units, or functions, including business processes such as sales, purchasing, production, and marketing and to which internal control relates, are depicted by the third dimension of the cube.³



³ Throughout the Framework, the term "the entity and its subunits" refers collectively to the overall entity, divisions, subsidiaries, operating units, and functions.

- 37 Each component cuts across and applies to all three categories of objectives. For example, selecting policies and procedures that help ensure that management's statements, actions, and decisions are carried out—part of the control activities component—are relevant to all three objectives categories.
- 38 The three categories of objectives are not parts or units of the entity. For instance, operations objectives relate to the efficiency and effectiveness of operations, not specific operating units or functions such as sales, marketing, procurement, or human resources.
- 39 Accordingly, when considering the category of objectives related to reporting, for example, knowledge of a wide array of information about the entity's operations is needed. In that case, focus is on the middle column of the model—reporting objectives—rather than the operations objectives category.
- 40 Internal control is a dynamic, iterative, and integrated process. For example, risk assessment not only influences the control environment and control activities, but also may highlight a need to reconsider the entity's requirements for information and communication, or for its monitoring activities. Thus, internal control is not a linear process where one component affects only the next. It is an integrated process in which components can and will impact another.
- 41 No two entities will, or should, have the same system of internal control. Entities, objectives, and systems of internal control differ dramatically by industry and regulatory environment, as well as by internal considerations such as the size, nature of the management operating model, tolerance for risk, reliance on technology, and competence and number of personnel. Thus, while all entities require each of the components to maintain effective internal control over their activities, one entity's system of internal control usually looks different from another's.

Objectives

- 42 Management, with board oversight, sets entity-level objectives that align with the entity's mission, vision, and strategies. These high-level objectives reflect choices made by management and board of directors about how the organization seeks to create, preserve, and realize value for its stakeholders. Such objectives may focus on the entity's unique operations needs, or align with laws, rules, regulations, and standards imposed by legislators, regulators, and standard setters, or some combination of the two. Setting objectives is a prerequisite to internal control and a key part of the management process relating to strategic planning.
- 43 Individuals who are part of the system of internal control need to understand the overall strategies and objectives set by the organization. As part of internal control, management specifies suitable objectives so that risks to the achievement of such objectives can be identified and assessed. Specifying objectives relates to the articulation of specific, measurable or observable, attainable, relevant, and time-bound objectives.

- 44 In most instances, specifying objectives requires some form of codification. However there may be instances where an entity might not explicitly state an objective. Objectives specified in appropriate detail can be readily understood by the people who are working toward achieving them.

Categories of Objectives

- 45 The Framework groups entity objectives into the three categories of operations, reporting, and compliance.

Operations Objectives

- 46 Operations objectives relate to the achievement of an entity's basic mission and vision—the fundamental reason for its existence. These objectives vary based on management's choices relating to the management operating model, industry considerations, and performance. Entity-level objectives cascade into related sub-objectives for operations within divisions, subsidiaries, operating units, and functions, directed at enhancing effectiveness and efficiency in moving the entity toward its ultimate goal.
- 47 As such, operations objectives may relate to improving financial performance, productivity (e.g., avoiding waste and rework), quality, environmental practices, innovation, and customer and employee satisfaction. These objectives pertain to all types of entities. For example, a for-profit entity may focus on revenue, profitability, return on assets, and liquidity. In contrast, a not-for-profit entity, though certainly concerned with revenues or levels of spending, may focus more on increasing donor participation. A governmental agency may focus primarily on executing its spending in line with the designated purposes of its appropriators to ensure that the spending supports its mission objectives. If an entity's operations objectives are not well conceived or clearly specified, its resources may be misdirected.

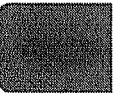
Safeguarding of Assets

- 48 The operations category of objectives includes safeguarding of assets, which refers to protecting and preserving entity assets. For instance, an entity may set objectives relating to the prevention of loss of assets and the timely detection and reporting of any such losses. These objectives form the basis of assessing risk relating to safeguarding of assets and selecting and developing controls needed to mitigate such risk.
- 49 The efficient use of an entity's assets, and prevention of loss through waste, inefficiency, or poor business decisions (e.g., selling product at too low a price, extending credit to bad risks, failing to retain key employees, preventing patent infringement, incurring unforeseen liabilities) relate to a broader operations objectives and are not a specific consideration relating to safeguarding of assets.
- 50 Laws, rules, regulations, and standards have created an expectation that management reporting on internal control includes controls relating to preventing and detecting unauthorized acquisition, use, or disposition of the assets. In addition, some entities consider safeguarding of assets a separate category of objective, and that view can be accommodated within the application of the Framework.

Reporting Objectives

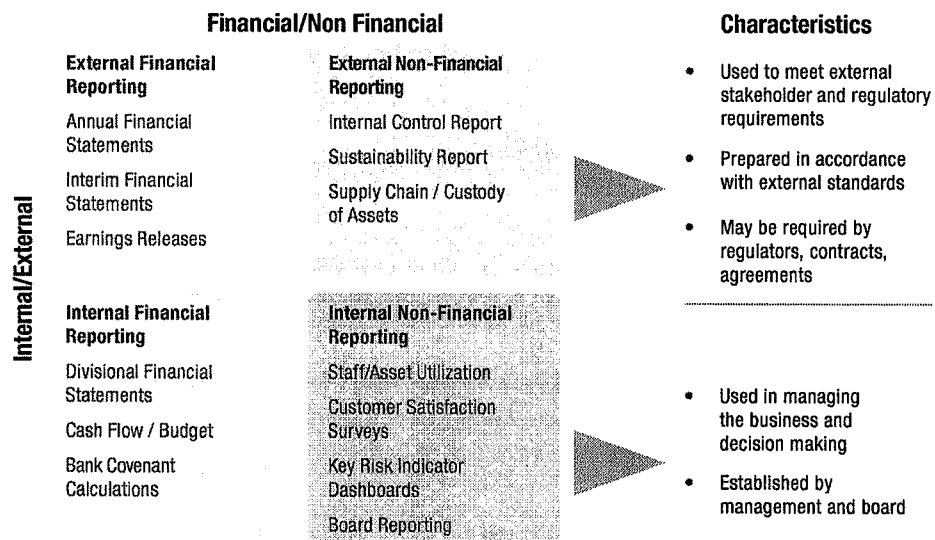
51 Reporting objectives pertain to the preparation of reports for use by organizations and stakeholders. Reporting objectives may relate to financial or non-financial reporting and to internal or external reporting. Internal reporting objectives are driven by internal requirements in response to a variety of potential needs such as the entity's strategic directions, operating plans, and performance metrics at various levels. External reporting objectives are driven primarily by regulations and/or standards established by regulators, and standard-setting bodies.

- *External Financial Reporting Objectives*—Entities need to achieve external financial reporting objectives to meet obligations to and expectations of stakeholders. Financial statements are necessary for accessing capital markets and may be critical to being awarded contracts or in dealing with suppliers and vendors. Investors, analysts, and creditors often rely on an entity's external financial statements to assess its performance against peers and alternative investments. Management may also be required to publish financial statements using objectives set forth by rules, regulations, and standards.
- *External Non-Financial Reporting Objectives*—Management may report external non-financial information in accordance with regulations, standards, or frameworks. An entity may engage an independent auditor to report on its conformance with standards published by standard-setting bodies. Non-financial reporting requirements as set forth by regulations and standards for management reporting on the effectiveness of internal control over financial reporting are part of external non-financial reporting objectives. For purposes of the Framework, external reporting in the absence of a regulation, standard, or framework represents external communication.
- *Internal Financial and Non-Financial Reporting Objectives*—Internal reporting to management and the board of directors includes information deemed necessary to manage the organization. It supports decision making and assessment of the entity's activities and performance. Internal reporting objectives are based on preferences and judgments of management and the board. Internal reporting objectives vary among entities because different organizations have different strategic directions, operating plans, and expectations.



Relationship within Reporting Category of Objectives

- 52 The overall relationship between the four sub-categories of reporting objectives is shown in the graphic below.



- 53 Reporting objectives are different from the information and communication component of internal control. Management establishes, with board oversight, reporting objectives when the organization needs reasonable assurance of achieving a particular reporting objective. In these situations all five components of internal control are needed. For instance, in preparing internal non-financial reporting to the board on the status of merger integration efforts, the organization specifies the reporting objectives (e.g., prepares reliable, relevant, and useful reports), assigns competent individuals, assesses risks relating to specified objectives, selects and develops controls within the five components necessary to mitigate such risks, and monitors components of internal control supporting the specified non-financial reporting objective.

- 54 In contrast, the Information and Communication component supports the functioning of all components of objectives, as well as operations and compliance objectives. For instance, controls within information and communication supports the preparation of the above report, helping to provide relevant and quality information underlying the report, but these controls are only part of the overall system of internal control.

Compliance Objectives

- 55 Entities must conduct activities, and often take specific actions, in accordance with applicable laws and regulations. As part of specifying compliance objectives, the organization needs to understand which laws and regulations apply across the entity. Many laws and regulations are generally well known, such as those relating to taxation and environmental compliance, but others may be more obscure, such as those that apply to an entity conducting operations in a remote foreign territory.
- 56 Laws and regulations establish minimum standards of conduct expected of the entity. The organization is expected to incorporate these standards into the objectives set for the entity. Some organizations will set objectives to a higher level of performance than established by laws and regulations. In setting those objectives, management is able to exercise discretion relative to the performance of the entity. For instance, a particular law may limit minors working outside school hours to eighteen hours in a school week. However, a retail food service company may choose to limit its minor-age staff to working fifteen hours per week.
- 57 For purposes of the Framework, compliance with an entity's internal policies and procedures, as opposed to compliance with external laws and regulations as discussed above, relates to operations objectives.

Overlap of Objectives Categories

- 58 An objective in one category may overlap or support an objective in another. For example, "closing financial reporting period within five workdays" may be a goal supporting primarily an operations objective—to support management in reviewing business performance. But it also supports timely reporting and filings with regulatory agencies.
- 59 The category in which an objective falls may vary depending on the circumstances. For instance, controls to prevent theft of assets—such as maintaining a fence around inventory, or having a gatekeeper to verify proper authorization of requests for movement of goods—fall under the operations category. These controls may not be relevant to reporting where inventory losses are detected after a periodic physical inspection and recording in the financial statements. However, if for reporting purposes management relies solely on perpetual inventory records, as may be the case for interim or internal financial reporting, the physical security controls would then also fall within the reporting category. These physical security controls, along with controls over the perpetual inventory records, are needed to achieve reporting objectives. A clear understanding is needed of the entity's business processes, policies and procedures, and the respective impact on each category of objectives.

Basis of Objectives Categories

- 60 Some objectives are derived from the regulatory or industry environments in which the entity operates. For example:
- Some entities submit information to environmental agencies.

- Publicly traded companies file information with securities regulators.
- Universities report grant expenditures to government agencies.

61 These objectives are established largely by law or regulation, and fall into the category of compliance, external reporting, or, in these examples, both.

62 Conversely, operations and internal reporting objectives are based more on the organization's preferences, judgments, and choices. These objectives vary widely among entities simply because informed and competent people may select different objectives. For example, one organization might choose to be an early adopter of emerging technologies in developing new products, whereas another might be a quick follower, and yet another a late adopter. These choices would reflect the entity's strategies and the competencies, technologies, and controls within its research and development function. Consequently, no one formulation of objectives can be optimal for all entities.

Objectives and Sub-Objectives

63 Management links specified entity-level objectives to more specific sub-objectives that cascade throughout the organization. Sub-objectives also are established as part of or flowing from the strategy-setting process, and relate to the entity and its subunits and functional activities such as sales, production, engineering, marketing, productivity, employee engagement, innovation, and information technology. Management aligns these sub-objectives with entity-level objectives and coordinates these across the entity.

64 Where entity-level objectives are consistent with prior practice and performance, the linkage between activities is usually known. Where objectives depart from an entity's past practices, management addresses the linkages or accepts increased risks. For example, an entity-level objective relating to customer satisfaction depends on linked sub-objectives dealing with the introduction of services that use a newer and less proven technology infrastructure. These sub-objectives might need to be substantially changed if past practice used older, proven technologies.

65 Sub-objectives for operating units and functional activities also need to be specific, measurable or observable, attainable, relevant, and time-bound. In addition, they must be readily understood by the people who are working toward achieving them. Management and other personnel require a mutual understanding of both what is to be accomplished and the means of determining to what extent it is accomplished in order to ensure individual and team accountability.

66 Entities specify multiple sub-objectives for each activity, flowing both from the entity-level objectives and from established standards relating to compliance and reporting objectives, as deemed suitable in the circumstances. For example, procurement operations objectives may be to:

- Purchase goods that meet engineering specifications
- Purchase goods from companies that meet environmental, health, and safety specifications (e.g., no child labor, good working conditions)

- Negotiate acceptable prices and other terms

67 As another example, when specifying suitable external reporting objectives relating to the preparation of external financial statements, Objectives, Components, and Principles 12 management considers accounting standards, financial statement assertions, and qualitative characteristics that are applicable to the entity and its subunits. For example, management may set an entity-level external financial reporting objective as follows: “Our company prepares reliable financial statements reflecting activities in accordance with generally accepted accounting principles.”

68 Management also specifies suitable sub-objectives for divisions, subsidiaries, operating units, and functions with sufficient clarity to support entity-level objectives. For instance, management specifies subobjectives for sales transactions that apply applicable accounting standards based on the circumstances and that address relevant financial statement assertions and qualitative characteristics, such as:

- All sales transactions that occur are recorded on a timely basis.
- Sales transactions are recorded at correct amounts in the right accounts.
- Sales transactions are accurately and completely summarized in the entity’s books and records.
- Presentation and disclosures relating to sales are properly described, sorted, and classified.

Components and Principles of Internal Control

69 The Framework sets out five components of internal control and seventeen principles representing the fundamental concepts associated with components. These components and principles of internal control are suitable for all entities. All seventeen principles apply to each category of objective, as well as to objectives and sub-objectives within a category. For instance, an entity may apply the Framework relative to complying with a specific law regarding commercial arrangements with foreign entities, a sub-category of the compliance category of objectives.

70 Below is a summary of each of the five components of internal control and the principles relating to components. Each of the principles is covered in the respective component chapters.⁴

Control Environment

71 The control environment is the set of standards, processes, and structures that provide the basis for carrying out internal control across the organization. The board of directors and senior management establish the tone at the top regarding the importance of internal control and expected standards of conduct.

⁴ For purposes of the Framework, when describing principles the term “organization” is used to capture the meaning of, collectively, the board of directors, management, and other personnel. Typically the board of directors serves an oversight capacity within this term.

72 There are five principles relating to Control Environment:

1. The organization demonstrates a commitment to integrity and ethical values.
2. The board of directors demonstrates independence from management and exercises oversight of the development and performance of internal control.
3. Management establishes, with board oversight, structures, reporting lines, and appropriate authorities and responsibilities in the pursuit of objectives.
4. The organization demonstrates a commitment to attract, develop, and retain competent individuals in alignment with objectives.
5. The organization holds individuals accountable for their internal control responsibilities in the pursuit of objectives.

Risk Assessment

73 Risk assessment involves a dynamic and iterative process for identifying and analyzing risks to achieving the entity's objectives, forming a basis for determining how risks should be managed. Management considers possible changes in the external environment and within its own business model that may impede its ability to achieve its objectives.

There are four principles relating to Risk Assessment:

6. The organization specifies objectives with sufficient clarity to enable the identification and assessment of risks relating to objectives.
7. The organization identifies risks to the achievement of its objectives across the entity and analyzes risks as a basis for determining how the risks should be managed.
8. The organization considers the potential for fraud in assessing risks to the achievement of objectives.
9. The organization identifies and assesses changes that could significantly impact the system of internal control.

Control Activities

74 Control activities are the actions established by policies and procedures to help ensure that management directives to mitigate risks to the achievement of objectives are carried out. Control activities are performed at all levels of the entity and at various stages within business processes, and over the technology environment.

75 There are three principles relating to Control Activities:

10. The organization selects and develops control activities that contribute to the mitigation of risks to the achievement of objectives to acceptable levels.
11. The organization selects and develops general control activities over technology to support the achievement of objectives.
12. The organization deploys control activities through policies that establish what is expected and procedures that put policies into action.

Information and Communication

76 Information is necessary for the entity to carry out internal control responsibilities in support of achievement of its objectives. Communication occurs both internally and externally and provides the organization with the information needed to carry out day-to-day internal control activities. Communication enables personnel to understand internal control responsibilities and their importance to the achievement of objectives.

77 There are three principles relating to Information and Communication:

13. The organization obtains or generates and uses relevant, quality information to support the functioning of other components of internal control.
14. The organization internally communicates information, including objectives and responsibilities for internal control, necessary to support the functioning of other components of internal control.
15. The organization communicates with external parties regarding matters affecting the functioning of other components of internal control.

Monitoring Activities

78 Ongoing evaluations, separate evaluations, or some combination of the two are used to ascertain whether each of the five components of internal control, including controls to effect the principles within each component, are present and functioning. Findings are evaluated and deficiencies are communicated in a timely manner, with serious matters reported to senior management and to the board.

79 There are two principles relating to Monitoring Activities:

16. The organization selects, develops, and performs ongoing and/or separate evaluations to ascertain whether the components of internal control are present and functioning.
17. The organization evaluates and communicates internal control deficiencies in a timely manner to those parties responsible for taking corrective action, including senior management and the board of directors, as appropriate.



Internal Control and the Management Process

80 Because internal control is a part of management's overall responsibility, the five components are discussed in the context of the management of the entity. Not every decision or action of management, however, is part of internal control:

- Having a board that comprises directors with sufficient independence from management and that carries out its oversight role is part of internal control. However, many decisions reached by the board are not part of internal control; for example approving a particular mission or vision. The board also fulfills a variety of governance responsibilities in addition to its responsibilities for oversight of internal control.
- Making strategic decisions impacting the entity's objectives is not part of internal control. An organization may apply enterprise risk management approaches or other approaches in setting objectives.
- Setting the overall level of acceptable risk and associated risk appetite⁵ is part of strategic planning and enterprise risk management, not part of internal control. Similarly, setting risk tolerance levels in relation to specific objectives is also not part of internal control.
- Selecting and developing control activities designed to mitigate risks based on the organization's risk assessment process is a part of internal control; however, choosing which risk response is preferred to address specific risks is not part of internal control.

Internal Control and Objective-Setting

81 It is not practical to design and implement a system of internal control unless the entity's objectives are established, set, and specified for the organization. Establishing and setting objectives and related sub-objectives are parts of or flow from the strategic-planning process, with consideration given to laws, rules, regulations, and standards as well as management's own choices. However, internal control cannot dictate or establish what an entity's objectives should be.

82 As part of internal control, an organization specifies objectives by:

- Articulating and codifying specific, measurable or observable, attainable, relevant and time-based objectives
- Assessing suitability of objectives and sub-objectives for internal control based on facts, circumstances, and established laws, rules, regulations, and standards
- Communicating objectives and sub-objectives throughout the entity and sub-units

83 The following diagram illustrates establishing and setting objectives as part of the management process outside of internal control, and specifying and using objectives as part of internal control in the context of an external financial reporting and an operations objective.

⁵ "Risk appetite" is defined as the amount of risk, on a broad level, an entity is willing to accept in pursuit of its mission/vision.



Part of the Management Process		Part of Internal Control	
Establish	Set	Specify	Use
External parties establish laws, rules, and standards (where applicable) relating to compliance and external financial reporting objectives.	Set strategic objectives and select strategy within the context of an entity's established mission or vision. Set entity-wide objectives and develop risk tolerances based on entity requirements. Align objectives with entity strategy and overall risk appetite. Set objectives and sub-objectives for the entity and its subunits.	Articulate specific, measurable or observable, attainable, relevant and time-based objectives. Assess suitability of objectives and sub-objectives for internal control based on facts, circumstances, and established laws, rules, and standards. Communicate objectives and sub-objectives throughout the entity and its subunits.	Use specified objectives and sub-objectives as basis for risk assessment.
Examples of Financial Reporting Objectives and Sub-Objectives			
The Financial Accounting Standards Board (FASB) established accounting principles generally accepted in the United States of America (US GAAP).	Our company prepares reliable financial statements reflecting activities in accordance with US GAAP.	Management assesses whether US GAAP is relevant and appropriate in the circumstances. If not, management provides feedback to the objective-setting process.	Management identifies and assesses risk to preparing reliable financial statements reflecting activities in accordance with US GAAP.
A regulatory body establishes an accounting standard on revenue recognition.	Our company recognizes sales revenue upon installation of equipment for sales-type capital leases or recognizes rental revenue over the operating lease term.	Operating unit financial management assesses whether financial reporting objectives and sub-objectives relating to revenue recognition are relevant and appropriate to all equipment sales. If not, operating unit financial management provides feedback to the objective setting process.	Operating unit financial management identifies and assesses risk to recording revenue on equipment sales in accordance with US GAAP.
Example of Operations Objectives			
Not applicable for operations objectives.	Our company seeks to improve performance by increasing inventory turnover ratio to twelve times per year, recognizing that lower inventory levels may result in more backorder items for customers.	Operating unit management assesses whether operations objectives relating to inventory turnover goals are appropriate. If not, operating unit financial management provides feedback to the objective setting process.	Operating unit management identifies and assesses risk to the achievement of an inventory turnover ratio of twelve times per year.



Limitations of Internal Control

- 84 The Framework recognizes that while internal control provides reasonable assurance of achieving the entity's objectives, limitations do exist and may result from the:
- Suitability of objectives established as a precondition to internal control
 - Reality that human judgment in decision making can be faulty
 - Breakdowns that can occur because of human failures such as errors
 - Ability of management to override internal control
 - Ability of management, other personnel, and/or third parties to circumvent controls through collusion
- 85 These limitations preclude the board and management from having absolute assurance of the achievement of the entity's objectives—that is, internal control provides reasonable but not absolute assurance.